

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

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SECURITIES & EXCHANGE COMMISSION,

Plaintiff,

ORDER

24-CV-6517-SJB-ST

v.

NANOBIT LIMITED, et al.,

Defendants.

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ORDER GRANTING MOTION FOR DEFAULT JUDGMENT

The Securities and Exchange Commission (“SEC”) has filed a motion for default judgment, (Pl.’s Mot. for Default J. filed Sep. 19, 2025 (“Pl.’s Mot.”), Dkt. No. 42), seeking a default judgment against Defendants NanoBit Limited (“NanoBit”), Radiant Horizons Limited (“Radiant Horizons”), Sweet Karma Fashion Inc. (“Sweet Karma”), Zhao Tropical Deli Inc. (“Zhao Deli”), Jiajie Liu (“Liu”), and Hua Zhao (“Zhao”) (collectively “Defendants”). The motion is granted.¹ In evaluating the motion and granting the relief contained herein, the Court makes the following legal and factual findings:

1. The SEC has complied with all of the requirements of Federal Rule of Civil Procedure 55, and Local Civil Rules 55.1 and 55.2. Defendants have not appeared, a

¹ The Court declines to use the proffered judgment, (Proposed J., attached to Status Report dated Feb. 5, 2026, Dkt. No. 50-1), because it contains requirements, information, and conditions typically not found in a judgment issued by this Court and unaddressed in the SEC’s moving papers. They include payment instructions, distribution of proceeds, and representations about how the SEC may enforce the Judgment under various laws. (*See, e.g., id.* at 4–5).

default has been entered, (Certificate of Default dated July 14, 2025, Dkt. No. 38), and no opposition to the motion for judgment has been filed.

2. The conduct of Defendants is sufficient to warrant entry of a default judgment. In determining whether to enter a default judgment, the Court is guided by the same factors that apply to a motion to set aside entry of a default. *See Enron Oil Corp. v. Diakuhara*, 10 F.3d 90, 96 (2d Cir. 1993); *Pecarsky v. Galaxiworld.com, Ltd.*, 249 F.3d 167, 170–71 (2d Cir. 2001). These factors are “1) whether the defendant’s default was willful; 2) whether defendant has a meritorious defense to plaintiff’s claims; and 3) the level of prejudice the non-defaulting party would suffer as a result of the denial of the motion for default judgment.” *Mason Tenders Dist. Council v. Duce Constr. Corp.*, No. 02-CV-9044, 2003 WL 1960584, at *2 (S.D.N.Y. Apr. 25, 2003). Following a full review of the record, including the submissions of the SEC in connection with the motion and the docket sheet, the Court concludes that each of these factors has been met in this case—the Defendants’ default is willful; because of the default, no meritorious defense has been presented to the Court; and because there is no alternative to obtain the relief sought, the SEC would suffer unfair prejudice if default were not entered.

3. Accepting the well-pleaded factual allegations in the Complaint, (Compl. dated Sep. 17, 2024, Dkt. No. 1), as true and drawing all inferences in favor of the SEC, *Finkel v. Romanowicz*, 577 F.3d 79, 84 (2d Cir. 2009), the Court is convinced, *see Henry v. Oluwole*, 108 F.4th 45, 55–56 (2d Cir. 2024), that these facts establish Defendants’ liability as to the following claims:

- a. A violation of Section 17(a) of the Securities Act of 1933 (“Securities Act”) by NanoBit, (Compl. ¶¶ 75–77);
 - b. A violation of Securities Act Sections 17(a)(1) and 17(a)(3) by Radiant Horizons, Sweet Karma, Zhao Deli, Liu, and Zhao, (*id.* ¶¶ 78–80);
 - c. A violation of Section 10(b) of the Securities Exchange Act of 1934 (“Exchange Act”) and Rule 10b-5 by NanoBit, (*id.* ¶¶ 81–83); and
 - d. A violation of Exchange Act Section 10(b) and Rules 10b-5(a) and 10b-5(c) by Radiant Horizons, Sweet Karma, Zhao Deli, Liu, and Zhao, (*id.* ¶¶ 84–86).
4. The SEC has established, and the Court has independently ascertained, its entitlement to the following damages, with reasonable certainty:
- a. Disgorgement in the amount of \$ 532,649 from NanoBit²;
 - b. Penalty in the amount of \$ 1,182,251 from NanoBit;
 - c. Penalty in the amount of \$ 1,182,251 from Radiant Horizons;
 - d. Penalty in the amount of \$ 1,182,251 from Zhao Deli;
 - e. Penalty in the amount of \$ 1,182,251 from Sweet Karma;
 - f. Disgorgement in the amount of \$ 60,603 from Liu;
 - g. Penalty in the amount of \$ 50,000 from Liu;

² The SEC’s memorandum lists the disgorgement amount owed by NanoBit as \$ 523,649. (Pl.’s Mem. in Supp. of Pl.’s Mot., Dkt. No. 43 at 2, 19–20). This appears to be a scrivener’s error. The declaration on which the amount is based calculated NanoBit’s disgorgement from two sets of asset addresses, one receiving \$ 114,599 in assets and the other \$ 418,050. (Decl. of Nicholas Bohmann, Dkt. No. 45 ¶¶ 3–6). This totals \$ 532,649. As such, the Court bases the total amount owed on the calculations in the Bohmann Declaration and its attached exhibits.

- h. Disgorgement in the amount of \$ 4,500 from Zhao; and
- i. Penalty in the amount of \$ 50,000 from Zhao.

5. The Court awards pre-judgment interest of \$ 81,957 to be paid by NanoBit, pre-judgment interest of \$ 9,485 to be paid by Liu, and pre-judgment interest of \$ 704 to be paid by Zhao. The Court also directs the Clerk of Court to award post-judgment interest as required by 28 U.S.C. § 1961(a).

6. The total amount to be paid to the SEC by each Defendant is \$ 1,796,857 by NanoBit, \$ 1,182,251 by Radiant Horizons, \$ 1,182,251 by Zhao Deli, \$ 1,182,251 by Sweet Karma, \$ 120,088 by Liu, and \$ 55,204 by Zhao. Defendants must satisfy these obligations within 30 days following entry of this Judgment.

7. The Court permanently enjoins Defendants from violating, directly or indirectly, Section 10(b) of the Exchange Act and Rule 10b-5, by using any means or instrumentality of interstate commerce, or of the mails, or of any facility of any national securities exchange, in connection with the purchase or sale of any security:

- a. to employ any device, scheme, or artifice to defraud;
- b. to make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading; or
- c. to engage in any act, practice, or course of business which operates or would operate as a fraud or deceit upon any person.

The foregoing also binds the following who receive actual notice of this Judgment by personal service or otherwise: (a) Defendants' officers, agents, servants, employees, and

attorneys; and (b) other persons in active concert or participation with Defendants or with anyone described in (a).

8. The Court permanently enjoins Defendants from violating Section 17(a) of the Securities Act in the offer or sale of any security by the use of any means or instruments of transportation or communication in interstate commerce or by use of the mails, directly or indirectly:

- a. to employ any device, scheme, or artifice to defraud;
- b. to obtain money or property by means of any untrue statement of a material fact or any omission of a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading; or
- c. to engage in any transaction, practice, or course of business which operates or would operate as a fraud or deceit upon the purchaser.

The foregoing also binds the following who receive actual notice of this Judgment by personal service or otherwise: (a) Defendants' officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Defendants or with anyone described in (a).

9. The Court permanently enjoins Defendants from participating in the issuance, purchase, offer, or sale of any security or attempting to induce the purchase or sale of a security by others; provided, however, that nothing shall prevent Defendants Zhao and Liu from purchasing or selling securities for his/her own personal accounts. The foregoing also binds the following who receive actual notice of this Judgment by

personal service or otherwise: (a) Defendants' officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Defendants or with anyone described in (a).

10. The Clerk of Court is directed to enter judgment consistent with this Order and to close this case.³

SO ORDERED.

/s/ Sanket J. Bulsara

SANKET J. BULSARA

United States District Judge

Date: June 16, 2026
Central Islip, New York

³ In its proposed judgement, the SEC had the Court retain jurisdiction for the purpose of enforcing the terms of the Judgment. (Proposed J. at 16-17). The Court declines to do so at this time. Should administration of the Fund lead to any disputes, a party may file a motion to reopen and explain why the Court has jurisdiction over the dispute.